

Nasdaq ICT and Order Flow Scalping Strategy

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ICT + Orderflow: The \$600k Prop Firm Scalping System

Summary of the video "Pass Prop Firms Using This ICT & Orderflow Futures Trading Strategy (\$600k+)" by Chart Fanatics.

Abraham Perez reveals a three-step trading system combining ICT market structure analysis with real-time orderflow (bookmap) to identify high-probability NASDAQ scalp entries. Step 1: identify macro trend and liquidity cycles on 4h/daily. Step 2: confirm bias with secondary structure on 15m/1h. Step 3: execute with entry models (IFB, change of character, break-retest) validated by aggressive orderflow volume. The system eliminates guesswork by showing exactly where institutions are accumulating and when they're losing control, enabling consistent prop firm payouts.

The Three-Step System Overview

Why the System Was Built

Abraham created this systematic approach because he was wasting time jumping between timeframes without a clear process to identify opportunities. The system cuts that wasted time by providing a step-by-step framework that works repeatedly.

Step 1: Identify Market Context (Macro Timeframes)

Use 4-hour and daily charts to identify the overall trend and where price is in the liquidity cycle. Markets move in trends with higher highs/lows, then pull back to fair value (internal range liquidity) before continuing. This context tells you whether a pullback is likely or if price will push higher.

Step 2: Confirm Bias with Secondary Structure (15m/1h)

On 15-minute and 1-hour charts, look for the secondary structure (the pullbacks and impulses within the macro move). This structure must align with your macro bias. For example, if macro says pullback is coming, you need to see weakness in the secondary structure (volume, closure below previous highs) before shorting.

Step 3: Execute with Entry Model + Orderflow Confirmation (Micro Timeframes)

Once macro and secondary align, use one of three entry models on 1m/5m/30s charts (depending on asset volatility) and confirm with bookmap orderflow. The entry model is just the trigger; orderflow shows whether aggressive buyers or sellers are actually entering, validating the setup.

The Three Entry Models

Entry Model 1: Inverted Fair Value Gap (IFBG)

Price takes liquidity above a previous high, creates a fair value gap, then closes with volume below that gap. This invalidates the bullish move and signals a reversal. Requires orderflow confirmation showing sellers gaining control; without it, the setup fails frequently.

Entry Model 2: Change of Character (Preferred)

In an uptrend, price reacts at support, makes a candle suggesting a sell, then manipulates with volume, breaks, retests, and closes below with volume—signaling a reversal. This is a complete cycle and works in both directions (flipped for downtrends). Requires liquidity to be swept first for best performance.

Entry Model 3: Break and Retest (Continuation)

Price breaks a level with volume and retests it, then continues in the original direction. Must see a fair value gap displacing the previous high and retest closing above the apex, aligned with orderflow showing aggressive buyers.

Critical Nuance: Entry Model ≠ Confirmation

The entry model is only a trigger, not confirmation. Confirmation comes from your full macro and secondary analysis plus orderflow volume. Many traders mark every IFBG and fail because they ignore this distinction. Only take the setup when everything aligns.

Orderflow & Bookmap Fundamentals

What Bookmap Shows: Three Layers

Bookmap displays the real-time order book in three parts: (1) heatmap = passive orders sitting at price levels waiting to be hit; (2) volume dots = aggressive market orders entering right now (these move price); (3) current order book = contracts at each price level. The heatmap attracts price like a magnet but doesn't move it; aggressors do.

Point of Control (POC) and VWAP

POC is the price level with the most volume in the session profile; it acts as support/resistance and recalculates as new volume enters. VWAP is anchored to the open and more dynamic. Both are powerful because they show where institutions are concentrated and when they lose control (POC flips, VWAP breaks).

Reading Orderflow: Buyers vs. Sellers

When you see large volume spikes on the buy side (green), buyers are aggressive. When you see large spikes on the sell side (red), sellers are aggressive. If POC is moving down, bearish volume is dominating. If buyers can't push price above a level despite high buy volume, sellers are absorbing those buys—a bearish signal.

Spoofing and Fake Orders

Large orders that disappear before price reaches them are likely spoofs—fake orders placed to manipulate price action. Algorithms use these to induce traders into positions. Recognize them by watching for orders that vanish without execution.

Why Asia Session Works Best for NASDAQ

Asia Session Advantages

Asia session on NASDAQ tends to have clearer structure and less manipulation than London or New York. When setups align in Asia, they tend to move decisively without reversing. Abraham prefers trading Asia for this reason—less noise, more reliable orderflow signals.

Why Lower Timeframes Matter for NASDAQ

NASDAQ is so volatile that trading 5-minute charts results in huge stop-losses. Trading 30-second or 1-minute charts reveals crystal-clear structure and allows tight stops. Many traders avoid seconds thinking it's impossible, but NASDAQ's volatility makes it ideal for micro-timeframe scalping.

Live Trade Examples & Execution

Asia Trade: \$5,000 Profit (1:11 Risk-to-Reward)

Price rejected a zone, buyers lost control of POC, sellers showed huge volume spikes in bookmap. Abraham entered a short at 11:49, targeting liquidity below. POC and VWAP acted as support on the way down. Trade hit 1:11 RR because liquidity was abundant and manipulation was minimal in Asia.

New York Trade: Patience Wins

Market opened with heavy accumulation between two large liquidity zones (95 and 102 contracts). Abraham waited for clarity instead of forcing a trade. When IFB formed with volume, POC flipped, and sellers showed aggression, he entered

short. Trade worked but required discipline to avoid early entries.

Live Trading Session: \$1,400 Profit

Abraham entered a buy after POC flip and buyers showed aggression. He trailed his stop and took profit before hitting a strong resistance (previous daily high). Trade management was key—he closed early rather than risk reversal, securing \$1,400 on a 200k funded account.

When to Close: Sketchy Market Conditions

On the final trading day, Abraham closed a trade at break-even despite having a valid setup because market conditions were unclear (low volume, piano-like price action, macro opening volatility). He prioritized capital preservation over forcing a win, demonstrating that knowing when NOT to trade is as important as entry skill.

Key Principles & Mindset

No Mechanical Strategies Work Long-Term

Abraham doesn't believe in pure mechanical strategies because if one worked all the time, everyone would use it and it would stop working. Instead, he uses entry models as triggers for discretionary analysis. The system is repeatable but requires judgment about market context.

Confluence Over Single Signals

High-probability setups have multiple confluences: macro bias aligned, secondary structure confirmed, entry model triggered, and orderflow showing aggression. The more confluences, the higher the win rate. Back-test and journal to identify which confluences matter most for your edge.

Patience is the Most Powerful Tool

Abraham repeatedly emphasizes waiting for price to come to you rather than forcing trades. If a setup doesn't have all confirmations, skip it. If market conditions are sketchy, close early or stay out. Patience prevents losses and lets high-probability setups play out.

ICT + Orderflow Ends the Debate

Abraham uses both ICT concepts (market structure, liquidity, fair value gaps) and orderflow (bookmap aggression). They're not competing—they're complementary. ICT teaches you where price should go; orderflow shows you when institutions are actually making it go there.

Prop Firm Performance & Results

Abraham's Track Record

Abraham has earned over \$500,000 in prop firm payouts using this exact system. He trades on Chanax and also competes in trading competitions, placing highly among tens of thousands of traders. His results are verified and consistent.

Why This System Passes Prop Firm Challenges

Prop firms require consistent profitability with low drawdowns. This system delivers because it's systematic (repeatable), has high win rates (multiple confluences), and uses tight risk management (orderflow shows when to exit). Abraham's results prove the system works across different market conditions.

Notable quotes

I have this X-ray vision and when I go to the bookmap, this is where the magic happens. — Abraham Perez

This is just the trigger. The confirmation is in your whole analysis. — Abraham Perez

The most powerful tool that traders have is patience. — Abraham Perez

Action items

Back-test the three entry models (IFBG, change of character, break-retest) on your asset for at least 2 years of data to identify which confluences matter most for your edge.

Set up bookmap with standard settings: heatmap, volume dots, current order book, POC, and VWAP. Disable tools you don't use (icebergs, gamma levels) to reduce clutter.

On your next trading session, apply the three-step process: (1) identify macro trend on 4h/daily, (2) confirm with secondary structure on 15m/1h, (3) execute only when entry model + orderflow align. Skip any setup missing a layer.

Journal every trade with: macro bias, secondary confirmation, entry model used, orderflow signal observed, and outcome. After 50+ trades, analyze which confluences correlate with wins.

Practice trading Asia session on NASDAQ (if your broker allows) to experience clearer structure and less manipulation. Compare your win rate to London/New York sessions.

When you see a valid setup but market conditions are sketchy (low volume, unclear POC, conflicting signals), close at break-even or skip the trade. Prioritize capital preservation over forcing wins.

Watch for spoofing: large orders that vanish before price reaches them. Learn to distinguish real institutional accumulation from fake orders designed to induce traders.

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